Higher National Diploma in Accountancy

First Year, Second Semester Examination – 2022

DA 1213 :Financial Accounting (II)

Instructions for Candidates:	**No. of questions : 06**
Answer five (05) questions including 1 & 2	**No. of pages : 08**
	Time : Three hours

Question No 01

(i) What are the two main parts of the total comprehensive income as per the LKAS 01? (02 Marks)

(ii) State two items that should be considered as cash and cash equivalent as per the LKAS 07 Statement of Cash Flows. (02 Marks)

(iii) Define the term events after the reporting period. (02 Marks)

(iv) According to LKAS 8,what are the two situations in which accounting policies can be changed? (02 Marks)

(v) Define the following terms according to LKAS 37.

a. Provision

b. Contingent Liability

c. Contingent assets (03 Marks)

(vi) Each of the following events occurred after the reporting date of 31st March 2022 but before the financial statement were authorized for issue. Classify the following events as adjusting events or non-adjusting events as per the LKAS events after the reporting period.

a. Inventory destroyed by flood two days before the reporting date.

b. Dividends proposed at the year end

c. A customer goes bankrupt (03 Marks)

(vii) Dotcom Company Ltd published a prospectus, with a view to issue 100,000 shares at a price of Rs 10 each. Applications have been received for 120,000 shares these 100,000 applications were selected and allotments were made, the rest of the applications were rejected. Write the journal entries. (03 Marks)

12500
5000 1800

(viii) Asian PLC decided to redeem 5,000 preference shares out of 12,500 issued at a price of Rs 20 each. In order to finance this transaction the company issued 15000 ordinary shares 10 each. Write the journal entries . (03 Marks)

(Total 20 Marks)

Question No 02

The trail balance of Sunil Ltd as at 31.03.2022 is as follows:

	Debit (Rs 000)	Credit (Rs 000)
Ordinary shares (5,000,000)		15000
10 % Preference shares (80,000)		4000
10% Debentures		30000
Land	11000	
Building	4000	
Motor vehicles	17000	
Office equipment	13000	
Provision for depreciation 01/04/2021		
Building		2700
Motor vehicles		7000
Office equipment		1200
Fixed deposit	700	
Motor vehicle disposal Account		1250
Income tax paid	325	
Provision for income tax as at 01/04/2021		45
Bad debt	450	
Receivables/ Payable	19850	16800
Telephone	150	
Electricity	124	
Building rent	150	
Interim dividend- Preference shares	300	
Cost of sales/ Sales	1530	27530
Other expenses	340	
Distribution expenses	985	
Inventory 31.03.2022	3500	
Debenture interest paid	1500	
Salary	600	
Advertisement	70	
Retained earnings 01.04.2021		1750
Cash	36111	
Provision for doubtful debts 01.04.2021		50
Investment income		4360
	111685	**111685**

Additional information

1. Net Realizable Value (NRV) of inventory as at 31st March 2022 was Rs.3,200,000

2. The land was revalued to Rs.13, 000,000/- on 31st March 2022 by the company. But this was not recorded in the books of accounts.
3. On 31st December 2021, a motor vehicle which was purchased on 01st January 2021 at Rs.2, 000,000/- was sold for Rs.1, 250,000/-. The sales proceed was credited to motor vehicle disposal account and other than that no entries were recorded in respect of disposal of motor vehicle.
4. Plant and Equipment are to be depreciated on the straight-line method at cost

   Building 5%

   Motor Vehicles 10%

   Office Equipment 20%
5. During the year, the company recovered a bad debt of Rs.200, 000/- from a debtor who had been written off as bad debt in the previous year and this amount was credited to the trade receivable account. Further company decided to write-off Rs.50, 000/- receivable from a customer as bad debt. It was also decided by the management to maintain the allowance for trade receivables at 5% of the balance trade receivables as at 31st March 2022. There was no entries made in the books.
6. The total income tax liability for the current financial year 2021/2022 is estimated to be Rs 420,000. The income tax paid includes a payment Rs 25,000 for the previous financial year 2020/21
7. The company has made a right issue during the year to all existing ordinary shareholders and issued one share each for every 50 shares held as at 01st April 2022 at Rs.40/- per share. All shareholders have taken up the rights and collected cash from all shareholders during the year. Cash received has been debited to cash account and credited to other income account. Other than that no entries were made on this regard.
8. The company issued 10% debentures on 01st April 2021 and interest is paid twice a year.
9. Monthly office rent is Rs10, 000/-. As at 31st March 2022, the company had paid three months' rent in advance.
10. Accrued electricity expenses of Rs.26, 000/- are to be accounted as at 31st March 2022.
11. board of directors decided the following
    - Transfer Rs 350,000 to the general reserve
    - To pay the balance dividend for the preference shareholders.

12. The financial statement were authorized for issue by the Board of Directors on 15th June 2022.

You are required to prepare the following statement for the publication purposes

(i) Statement of comprehensive income for the year ended 31.03.2022

(ii) Statement of financial position as at 31.03.2022

(iii) Statements of changes in equity for the year ended 31.03.2022

(Total 26 Marks)

Question No 03

(i) Miss Priya consigned 1000 radio sets costing Rs 1000 each to Miss Sujitha her agent on 1st January 2022. Miss Priya incurred the following expenditure on sending the consignment. Freight Rs 5,000 & Insurance Rs 7,000.Miss Sujitha received the delivery of 950 radio sets. An account sale dated 20th February 2022 showed that 750 sets were sold for rs 900,000 and Miss Sujitha incurred Rs 9500 for carriage. Miss Sujitha was entitled to commission 5% on sales. She incurred expenses amounting to Rs 3,000 for repairing the damaged radio sets remaining in the inventory. Miss Priya lodged a claim with the insurance company which was admitted at Rs 32,000.

You are required to:

a.) Consignment Account

b.) Consignee Account

c.) Good send on consignment Account (10 Marks)

(ii) Mr Vimal and Mr Kamal enter into a joint venture agreement to prepare the film for the government. The government agrees to pay Rs 150,000. Vimal contributes Rs 25,000 and Kamal contributes Rs 20,000. These amounts are deposited into a joint Bank Account. Payments made out the joint bank account were:

Purchase of equipment Rs 15,000

Hire of equipment Rs 12,000

Material Rs 60,000

Office expenses Rs 20,000

Vimal paid Rs 8,000 wages. The equipment was taken over by the Kamal at the valuation of Rs 10,000. Separate books of account are maintained for the joint venture accounting and profits were divided among Vimal and Kamal into the ratio of 3:2 respectively .

Prepare the following accounts:

a.) Joint venture Account

b.) Joint Bank Account

c.) Co-ventures Account. (08 Marks)

(Total 18 Marks)

Question 04

Given below is the statement of financial position of a partnership business carried on by Amal, Kamal and Vimal as at 31.03.2022 who shares the profit 2:2:1

Non-current assets	Rs 000	Rs 000
Land		9000
Building	6350	
Accumulated depreciation	-350	6000
Plant and machinery	4125	
Accumulated depreciation	-925	3200
Furniture	400	
Accumulated depreciation	(100)	300
Investment		1400
Current assets		
Stock		4000
Receivables		7500
Cash		2700
Total assets		**34100**
Equity and liabilities		
Capital		
Amal	13700	
Kamal	6000	
Vimal	4300	24000
Current accounts		
Amal	1250	
Kamal	1600	
Vimal	1750	4600
Non-current liabilities		
Bank loan		2300
Mortgage loan		320
Current liabilities		
Account payables		2800
Accrued expenses		80
Total equity and liabilities		**34100**

Due to the weakness of the management the partnership was dissolved and the following transactions took place

1. Assets were realized in the following manner and cash was collected

   Land Rs 9,500, 000

Buildings Rs 5,300,000

Receivables Rs 7,250,000

2. Mortgage loan has taken from a finance company against the furniture value of the partnership. At the time of dissolution the partnership had to transfer the title of the furniture to the lending company with an additional payment of Rs 40,000 to settle total capital outstanding of Mortgage loan account.
3. 50% of the stock was taken over by Amal at market price which was 20% less than the book value and the remaining was sold at market price.
4. Investment realized 20% higher and was taken over by Kamal and Vimal took over the plant and machinery at a valuation of Rs 4,500,000.
5. Dissolution expenses Rs 100,000, among these amount Rs 70,000 borne by the firm and the balance by Mr. Kamal
6. Amal paid bank loan along with one year interest 10 % per annum.
7. Creditors were paid 10% less and an unrecorded liability of Rs.10, 000 paid
8. It was revealed that Rs 40,000 of accrued expenses were merely an over provision in the books of accounts.

You are required to prepare

(i) Realization account

(ii) Partner's capital account

(iii) Cash account **(Total 18 Marks)**

Question No 05

(i) Define royalty and list out two form of royalty. (03 Marks)

(ii) Namal enterprise mining company took a lease from a landlord to manufacture and sell article on the following term and conditions.

1. Rs 50 per article is to be paid as royalty on selling unit.
2. Royalty payment should be paid annually subject to a minimum royalty payment of Rs 150,000.
3. It is allowed to recap short working within period of subsequent two years.
4. There was strike in 2020
5. If companies work affected by any strike the minimum rent payable would be deducted by 10%
6. The following are the details of the number of articles manufacture and the stocks were available.

Year	Manufacturing units	Opening stock	Closing stock
2018	2800	200	400
2019	2800	400	350
2020	3150	350	400
2021	3205	400	525
2022	3400	525	925

You are required to prepare:

a.) Royalty accounts

b.) Short working Account

c.) Land lord Account (15 Marks)

(Total 18 Marks)

Question No 06

(i) The Statement of Financial position of Athula PLC as at 31st March 2022 and 31st March 2021are given below.

Statement of Financial position (Rs 000)		
	31.03.2022	31.03.2021
Non- current assets		
Property, Plant and Equipment	10500	8500
Accumulated depreciation	(2300)	(1000)
Carrying value	**8200**	**7500**
Current assets		
Inventory	1750	1600
Account receivable	1500	1200
Cash and cash equivalent	500	600
	3750	**3400**
Total Assets	**11950**	**10900**
Equity and Liabilities		
Equity		
Stated capital	5600	4500
Retained earning	4100	2500
	9700	**7000**
Non-Current Liabilities		
Long term loan	890	1900
	890	**1900**
Current liabilities		
Payables	340	450
Short term loans	550	550
Interest payable	190	400

Income tax payable	280	600
	1360	**2000**
Total equity and liabilities	**11950**	**10900**

The following additional information also provided.

(1) The company has disposed one of its motor vehicles costing Rs.1, 200,000/- on 01st April 2021 for Rs.600, 000/-. The accumulated depreciation as at the date of disposal was Rs.500, 000/-. In addition to this transaction, the difference in Property, Plant and Equipment represents the acquisition of a land during the year ended 31st March 2022.

(2) Interest expense on loans for the year was Rs.150, 000.

(3) Income tax expenses for the year ended 31st March 2022 was Rs 210,000

(4) The company paid dividend of Rs.100,000

Prepare the Cash Flow Statement of Athula PLC for the year ended 31st March 2022 using indirect method. (10 Marks)

(ii) A company was incorporated for taking over the business of Mr. Udayanga. The following is the Statement of Financial position for Mr. Udayanga as at 31st December 2022.

Capital & Liabilities	Rs 000	Assets	Rs 000
Capital	25,200	Land and building	40,000
Loan creditors	30,000	Plant and Machinery	7,000
Trade creditors	17,800	Furniture	5,000
		Sundry debtors	21,000
	73,000		**73,000**

The company takes over the business with the fixed assets and loan creditors on the following basis.

(a) The fixed assets should be depreciated at 10%.

(b) The value of the goodwill is estimated at Rs. 20,000,000

(c) The total amount due to vendor was settled by payment of Rs. 4,800,000 in cash and the balance in the shape of fully paid equity shares of Rs. 10 each.

You are required to calculate the purchase consideration and Pass the journal entries.

(08 Marks)

(Total 18 Marks)